

Debit Cards

Many banks allow you to make purchases with your ATM card. The money is taken from your account electronically. These cards are called debit cards, or check cards. You can only take out as much as you have in the account, or in your overdraft-protection account.

Two Types of Debit Card

There are two types of debit cards. The first is referred to as an online debit card, which removes money immediately from your account when you use your PIN. The second type, called a deferred debit card, bears a MasterCard or Visa logo and you can use it anywhere that accepts Visa and MasterCard. Deferred credit cards require you to sign a sales receipt and the amount is removed from your account a few days later.

Some banks combine both functions on one card, so when you're ready to pay using these cards, you have the option of hitting debit or credit on the keypad. Don't be confused by the Visa or MasterCard logo on these cards. They are *not* credit cards. Both types remove money directly from your checking account.

Debit Card Safety

Debit cards that require a PIN are safer than those that require only a signature. If your card is lost or stolen, anyone can sign your name, but a thief can't use your PIN-based debit card unless he has your PIN. If you have a card that allows both types of transactions, a thief could use your card even without your PIN.

Don't leave your receipts behind when you use your debit card or throw them away without shredding them. Thieves who "dumpster-dive" may find your receipt and use the personal information on it to rip you off. Never write your PIN on your debit card or share your PIN with somebody else,